calibrated way, to what is strictly needed from a prudential perspective.

We also subject our banks to a variety of priority sector lending requirements. I believe there is a role for such a mandate in a developing country – it is useful to nudge banks into areas they would otherwise not venture into. But that mandate should adjust to the needs of the economy, and should be executed in the most efficient way possible. Let us remember that the goal is greater financial access in all parts of the country, rather than meeting bureaucratic norms. I am asking Dr Nachiket Mor to head a committee that will assess every aspect of our approach to financial inclusion to suggest the way forward. In these ways, we will further the development mission of the RBI.

RUPEE INTERNATIONALIZATION AND CAPITAL INFLOWS

This might be a strange time to talk about rupee internationalization, but we have to think beyond the next few months. As our trade expands, we will push for more settlement in rupees. This will also mean that we will have to open up our financial markets more for those who receive rupees to invest them back in. We intend to continue the path of steady liberalization.

The RBI wants to help our banks bring in safe money to fund our current account deficit. The Reserve Bank of India has been receiving requests from banks to consider a special concessional window for swapping Foreign Currency Non-Resident (FCNR) deposits that will be mobilized following the recent relaxations permitted by the bank. We will offer such a window to the banks to swap the fresh FCNR dollar funds, mobilized for a minimum tenor of three years and over, at a fixed rate of 3.5 per cent per annum for the tenor of the deposit.

Further, based again on requests received from banks, we have decided that the current overseas borrowing limit of 50 per cent of the